Since there's no way to anticipate when pleasant surprises of various kinds might occur, you increase your odds of benefiting from one by owning several stocks.

(2) The more stocks you own, the more flexibility you have to rotate funds between them. This is an important part of my strategy.

Some people ascribe my success to my having specialized in growth stocks. But that's only partly accurate. I never put more than 30–40 percent of my fund's assets into growth stocks. The rest I spread out among the other categories described in this book. Normally I keep about 10–20 percent or so in the stalwarts, another 10–20 percent or so in the cyclicals, and the rest in the turnarounds. Although I own 1,400 stocks in all, half of my fund's assets are invested in 100 stocks, and two-thirds in 200 stocks. One percent of the money is spread out among 500 secondary opportunities I'm monitoring periodically, with the possibility of tuning in later. I'm constantly looking for values in all areas, and if I find more opportunities in turnarounds than in fast-growth companies, then I'll end up owning a higher percentage of turnarounds. If something happens to one of the secondaries to bolster my confidence, then I'll promote it to a primary selection.

SPREADING IT AROUND

Spreading your money among several categories of stocks is another way to minimize downside risk, as discussed in Chapter 3. Assuming that you've done all the proper research and have bought companies that are fairly priced, then you've already minimized the risk to an important degree, but beyond that, it's worth considering the following:

Slow growers are low-risk, low-gain because they're not expected to do much and the stocks are usually priced accordingly. Stalwarts are low-risk, moderate gain. If you own Coca-Cola and everything goes right next year, you could make 50 percent; and if everything goes wrong, you could lose 20 percent. Asset plays are low-risk and high-gain if you're sure of the value of the assets. If you are wrong on an asset play, you probably won't lose much, and if you are right, you could make a double, a triple, or perhaps a five-bagger.

Cyclicals may be low-risk and high-gain or high-risk and low-gain, depending on how adept you are at anticipating cycles. If you are right, you can get your tenbaggers here, and if you are wrong, you can lose 80–90 percent.

Meanwhile, additional tenbaggers are likely to come from fast growers or from turnarounds—both high-risk, high-gain categories. The higher the potential upside, the greater the potential downside, and if a fast grower falters or the troubled old turnaround has a relapse, the downside can be losing all your